Calendar Line 5

Case Name: Hathaway v. Alliance Roofing Company, Inc. (Class Action)
Case No.: 22CV401365
(Lead case; consolidated with Case No. 22CV407856)

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. Plaintiffs Chad Hathaway and Edwardo Contreras Ruiz (collectively, "Plaintiffs") filed two separate cases, now consolidated.

On July 29, 2022, Plaintiff Hathaway began this case by filing a class action complaint against defendant Alliance Roofing Company, Inc. ("Defendant"). On October 4, 2022, Hathaway filed the operative first amended class action complaint against Defendant, asserting the following causes of action: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to permit rest breaks; (5) failure to reimburse business expenses; (6) failure to provide accurate itemized wage statements; (7) failure to pay wages timely during employment; (8) failure to pay all wages due upon separation of employment; (9) violation of Business and Professions Code section 17200, *et seq.*; and (10) enforcement of Labor Code section 2698, *et seq.* [Private Attorneys General Act ("PAGA")].

On November 3, 2022, Plaintiff Ruiz filed a complaint against Defendant (Super. Ct. Santa Clara County 2022, Case No. 22CV407856) (the "Ruiz Action").

On March 15, 2024, the court issued an order granting Hathaway's request for dismissal of the tenth cause of action for PAGA enforcement, without prejudice.

On April 17, 2024, the court issued an order on the parties' stipulation consolidating this action with the Ruiz Action for all purposes, with this action serving as the lead case. Also on April 17, 2024, the court issued an order granting Hathaway's motion to compel Defendant to provide further responses to Hathaway's request for production of documents and ordering Defendant to pay $1,500 in monetary sanctions.

On January 7, 2025, the court issued an order on the parties' stipulation regarding the briefing schedule for Defendant's motion for summary adjudication, with a hearing reserved for May 28, 2025. According to the parties Joint Case Management Conference Statement filed on March 24, 2025, Defendant's motion for summary judgment is now scheduled to be heard on July 30, 2025, and the parties have agreed upon the associated briefing schedule.

Now before the court is Defendant's motion to compel arbitration and dismiss, or alternatively, stay the proceedings. Plaintiffs timely filed opposition papers, and Defendant timely filed a reply.

II. LEGAL STANDARD

"Arbitration provisions in a CBA are enforceable with respect to claims made by a union member. [Citations.]"[1] (*Oswald v. Murray Plumbing and Heating Corp.* (2022) 82 Cal.App.5th 938, 942 (*Oswald*).) "[W]hether a collective bargaining agreement creates a duty for the parties to arbitrate the particular grievance -- is undeniably an issue for judicial determination." (*AT&T Technologies v. Communications Workers* (1986) 475 U.S. 643, 649.)

In ruling on a motion to compel arbitration, the court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) "Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration." (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.)

In determining the rights of parties to enforce an arbitration agreement within the scope of the Federal Arbitration Act ("FAA"), "courts apply state contract law while giving due

[1] One exception is that "a union may not prospectively waive an employee's right to a judicial forum to hear his or her statutory discrimination claims." (*Torrez v. Consol. Freightways Corp.* (1997) 58 Cal.App.4th 1247, 1259.) That is not an issue in this case.

regard to the federal policy favoring arbitration." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

> But the FAA's policy favoring arbitration … is merely an acknowledgment of the FAA's commitment to overrule the judiciary's longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind.

(*Morgan v. Sundance, Inc*. (2022) 596 U.S. 411 (*Morgan*), internal citations and quotation marks omitted.)

The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, "the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate"]; *Rosenthal v. Great Western Fin'l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party's burden is a preponderance of evidence]; see *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165-166 [normal formalities regarding document authentication are not required].) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal*, *supra*, 14 Cal.4th at p. 413.)

III. MOTION TO COMPEL ARBITRATION

It is undisputed that during their employment with Defendant, Plaintiffs were members of a construction labor union, Local Union No. 95 – United Union of Roofers, Waterproofers and Allied Workers ("Local 95"). (Motion, p. 3:3-23; Opposition, pp. 1:2-14.) Defendant contends that Plaintiffs are subject to a valid arbitration agreement because negotiated changes to the applicable CBA apply to Plaintiffs retroactively. (Motion, pp. 7:23-8:26.) Plaintiffs argue the newly negotiated arbitration agreement does not apply to them and, even if it does, Defendant waived its right to compel arbitration by participating in this litigation. (Opposition, pp. 5:19-11:9.)

A. Existence of Agreement to Arbitrate

To establish the existence of an arbitration agreement, Defendant submits the declaration of Romy Roque, its president. (Motion, p. 3:4-11; Declaration of Romy Roque ("Roque Decl."), ¶ 1.) According to Mr. Roque, Defendant employed Plaintiff Hathaway from March 11, 2020 to July 24, 2020 and Hathaway was a member of Local 95 throughout his term of employment. (Roque Decl., ¶¶ 3-4.) Defendant employed Plaintiff Ruiz from February 28, 2017 to February 4, 2022 and Ruiz was a member of Local 95 throughout his term of employment. (*Id.* at ¶¶ 5-6.)

Defendant is a member of the Associated Roofing Contractor's of the Bay Area Counties, Inc. ("Associated Roofing Contractors"). (Roque Decl., ¶ 7.) Defendant has maintained a business relationship with Local 95 for more than 30 years. (*Id.* at ¶ 8.) Throughout this time, a CBA has been in place, setting forth detailed terms of employment. (*Ibid.*) In August 2022, lawyers for Associated Roofing Contractors informed Mr. Roque that California courts had found certain language within the existing CBA to be deficient. (*Id.* at ¶ 9.)

In the summer of 2024, representatives of Defendant, Local 95, and Associated Roofing Contractors met and prepared a new CBA to address the deficiencies identified by the courts and give effect to the parties intentions, as follows: "All wage/hour claims are to be arbitrated, PAGA claims are precluded, class claims are prohibited unless first approved by an arbitrator, and all of these requirements/limitations are to be applied retroactively to any currently-pending wage/hour claims, PAGA claims and class-based claims." (Roque Decl. at ¶¶ 10-11.) The new CBA between Defendant as a member of Associated Roofing Contractors and Local 95 became effective on August 1, 2024. (*Id.* at ¶ 12 and Ex. A (the "August 2024 CBA").)

The copy of the August 2024 CBA submitted with Mr. Roque's declaration bears the signature of Robert Rios, Business Manager for Local 95. (August 2024 CBA, pp. 21, 33.) Defendant contends the August 2024 CBA contains, "undeniably-clear language requiring the arbitration of wage/hour claims, and precluding PAGA claims." (Motion, p. 4:8-9.) Defendant cites the following portions of the CBA in support of its motion:

> ARBITRATION OF WAGE AND HOUR CLAIMS AND THE CALIFORNIA PRIVATE ATTORNEYS GENERAL ACT PRECLUSION. In addition to claims for meal period, rest period and heat recovery violations, the following claims and claims for associated penalties shall be resolved exclusively through the

> binding arbitration before an impartial arbitrator as set forth in this paragraph, and shall not be brought in a court of law or before any administrative agency such as the California Labor Commissioner: all claims arising under the Fair Labor Standards Act, the California Labor Code and Industrial Welfare Commission Orders (e.g. Wage Order 16) and all derivative claims arising under California Business & Professions Code section 17200, et seq., for: unpaid wages (e.g. claims for hours worked off the clock, overtime wages, incorrect rate(s) of pay and travel time); heat illness recovery violations, waiting time penalties; reimbursement of expenses (e.g. tools, cell phone charges, mileage and subsistence); record keeping of personnel files, time records and payroll records; violation of Labor Code sections 212 and 226, and all similar claims arising under applicable local law.

(August 2024 CBA, Article XXVIII, Section 3 ("Arbitration Agreement"), at p. 17.)

> It is mutually agreed that this Agreement prohibits any and all violations of the sections of the California Labor Code identified in Labor Code 2699.5 and 2699(f) as well as any others that are redressable pursuant to the Labor Code Private Attorneys General Act of 2004 ("PAGA"), and that such claims shall be resolved exclusively through binding arbitration before an impartial arbitrator and not in court of law or any administrative agency, as set forth in this Section. Pursuant to Labor Code Section 2699.6, the Parties hereby expressly and unambiguously waive the provisions of PAGA, Labor Code Section 2698, et seq., and agree that none of the provisions of that statute apply to any of the employees covered by this Agreement. This Agreement expressly authorizes the impartial arbitrator to award any and all remedies otherwise available under the California Labor Code, except the award of penalties under PAGA that would be payable to the Labor and Workforce Development Agency. …The Parties also agree that any non-individual claims will be stayed and the employee will not pursue any such claims in court until after the impartial arbitrator, and not the court, issues a final and written determination as to the employee's status (sic) an "aggrieved employee.

(*Ibid.*)

> This Section shall apply to any representative PAGA claims, class and/or individual claims that arise or are pending during the term of the Parties' current collective bargaining agreement, regardless of when they were filed with any court or administrative agency.

(*Id.* at p. 18, final paragraph of Section 3.)

By producing a copy of the August 2024 CBA signed on behalf of Local 95, which contains the Arbitration Agreement expressly stating that its terms shall apply to claims that arise or are pending, regardless of when they were filed, Defendant has established the existence of an agreement to arbitrate between itself and Plaintiffs' union. Defendant's contention that the Arbitration Agreement covers wage and hour claims, thus bringing Plaintiffs' claims within its scope, is supported by the plain language of the agreement.

Therefore, Defendant has met its initial burden by submitting prima facie evidence of a written agreement to arbitrate the claims asserted in the action. (*Espejo*, *supra*, 246 Cal.App.4th at p. 1060 [a defendant may meet their initial burden "by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature"]; see also *Oswald*, *supra*, 82 Cal.App.5th at p. 942 ["[a]rbitration provisions in a CBA are enforceable with respect to claims made by a union member"].)

B. Validity and Scope of the Agreement to Arbitration

Once the party seeking arbitration meets its burden of proving the existence of an arbitration agreement, "the party opposing arbitration bears the burden of proving any defense…." (*Pinnacle*, *supra*, 55 Cal.4th at p. 236.) Plaintiffs initially contend that Defendant cannot show that there is valid agreement to arbitrate covering the periods of the Plaintiffs' employment. (Opposition, pp. 5:19-26.) Plaintiffs' position is that Defendant has not met its initial burden of proving the existence of an arbitration agreement that applies to Plaintiffs, for two reasons. (*Ibid.*)

First, Plaintiffs argue that the August 2024 CBA, and thus the Arbitration Agreement, do not apply to Plaintiffs because they were not union employees in 2024. (Opposition, pp. 5:27-7:2.) Plaintiffs assert that they had not worked for Defendant for years before the negotiation of the August 2024 CBA, and never gained any benefits from the new CBA when it went into effect. (*Id.* at p. 6:21-27.) Plaintiffs thus maintain that when Local 95 negotiated the August 2024 CBA, it did not do so on Plaintiff's behalf because they were former employees. (*Id.* at pp. 6:28-7:2.)

In support of this argument, Plaintiffs cite a string of cases for the proposition that a union cannot bargain for former employees when negotiating a new CBA because the former employees fall outside the bargaining unit and lose union representation. (*Id.* at p. 6:7-20 [citing, among others, *Allied Chemical & Alkali Workers of America v. Pittsburgh Plate Glass Co.* (1971) 404 U.S. 157, 173 (*Pittsburgh Glass*).) However, "*Pittsburg Glass* stands for the position that labor unions do not have a duty to represents retirees, but not that they are prohibited from doing so. [Citation.]" (*Bullock v. City of Anitoch* (2022) 78 Cal.App.5th 407, 418, fn. 8.) The only California case cited here by Plaintiffs is *Division of Labor Law Enforcement, Dep't of Industrial Relations v. Standard Coil Products Co.* (1955) 136 Cal.App.2d Supp. 919 (*Standard Coil*). Nonetheless, not only does *Standard Coil* predate *Oswald* by over 60 years, but it is also a decision of the appellate department of a Superior Court pertaining to an evidentiary ruling, nowhere stating that a union cannot bargain on behalf of former employees. The court finds the other authorities cited by Plaintiffs on this point to be similarly unpersuasive.

Second, Plaintiffs argue that Defendant's reliance on *Oswald* is misguided because the facts here are distinguishable. (Opposition, pp. 7:3-8:11.) Plaintiffs assert that a CBA can only apply retroactively if the effective date or new contract show that it covered the period of the employee's employment. (*Id.* at p. 7:5-7.) Plaintiffs rely on *Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534 (*Mendez*). There, the appellate court affirmed the trial court's ruling that the arbitration provision in the collective bargaining agreement did not apply to the plaintiff's statutory discrimination claims. (*Id.* at p. 537.) The plaintiff argued that she was not a party to the arbitration agreement because she was not a party to either of the two CBAs relied upon by the defendant employer. (*Id.* at p. 541.) More specifically, the plaintiff in *Mendez* argued that neither CBA applied to her claims because, on the date the employer terminated her, the first CBA was no longer effective, and the second CBA was not yet approved. (*Id.* at p. 542.)

The *Mendez* court rejected plaintiff's argument, stating that the new agreement "applied retroactively to a date prior to Mendez's termination." (*Mendez, supra*, 220 Cal.App.4th at p. 542.).) The appellate court found:

> [A]s a member of the union, Mendez was bound by the terms of the collective bargaining agreement. (See *Florio v. City of Ontario* (2005) 130 Cal.App.4th 1462, 1466 [30 Cal. Rptr. 3d 841] ["'a member of a bargaining unit is bound by the terms of a valid collective bargaining agreement, though he is not formally a party to it and may not even belong to the union which negotiated it'"].)

(*Ibid.*) Thus, although the *Mendez* court affirmed the trial court's ruling denying the petition for arbitration, it rejected the plaintiff's assertion that "the trial court's decision must be affirmed regardless of the language of the collective bargaining agreement, because she was not a party to either of the two collective bargaining agreements relied upon by [the defendant]." (*Id.* at

p. 541.) The *Mendez* court affirmed, not because there was no retroactivity, but because it found that the arbitration agreement did not apply to the plaintiff's discrimination claims under the Fair Employment and Housing Act. (*Id.* at p. 543.) That is not an issue in this case. The other decisions cited by Plaintiff here are similarly unpersuasive because they do not find that a collective bargaining agreement cannot be applied retroactively. (Opposition, p. 7:9-14.)

The parties dispute whether *Oswald* represents controlling authority here. In *Oswald*, the appellate court found that a memorandum of understanding ("MOU") executed to replace a CBA's original arbitration clause and signed after the plaintiff's employed ended was effective retroactively against the plaintiff. (*Oswald*, *supra*, 82 Cal.App.5th at pp. 941, 944.) Defendant asserts that it was the intent of the authors of the August 2024 CBA in this case to incorporate the holding of *Oswald* to ensure that wage and hour claims "would be subject to mandatory arbitration, that PAGA claims would be precluded, and that these requirements would be applied retroactively." (Motion, p. 6:19-20.) Plaintiffs contend that *Oswald* is distinguishable because their claims did not arise during the term of the August 2024 CBA, emphasizing that Defendant and Local 95 jointly prepared a new CBA—instead of amending an existing CBA, as the parties did in *Oswald*. (Opposition, pp. 7:24-8:11.) The court finds Plaintiffs' position on this point to be without merit.

In *Oswald*, the parties' employment relationship was governed by a master agreement effective from 2017 to 2026. (*Oswald*, *supra*, 82 Cal.App.5th at p. 941.) The master agreement was a CBA requiring arbitration of disputes, including those arising under PAGA, as the sole and exclusive remedy. (*Ibid.*) The plaintiff was a pipefitter who sued the defendant for civil penalties under PAGA. (*Ibid.*) The defendant invoked the CBA and moved to compel arbitration. (*Ibid.*) The trial court found that Labor Code section 2699.6 (exempting construction workers from PAGA if certain conditions are met) did not apply and denied the motion to compel arbitration. (*Ibid.*) Soon after the defendant appealed, the parties' collective bargaining representatives signed an MOU, replacing the CBA's original arbitration clause and stating that the change was retroactive to 2017. (*Id.* at pp. 942.)

The appellate court in *Oswald* reversed, finding that the MOU was retroactive and that the dispute was exempt from PAGA because the revised arbitration agreement satisfied the

Labor Code section 2699.6 requirements as a matter of law. (*Oswald*, *supra*, 82 Cal.App.5th at pp. 941, 944, 947.) In reaching this conclusion, the *Oswald* court stated the cited rule that "[a]rbitration provisions in a CBA are enforceable with respect to claims made by a union member. [Citations.]" (*Id.* at p. 942.) In finding that the MOU applied retroactively, the court looked to terms of the MOU itself, stating "that it 'shall apply to any representative PAGA claims and class action claims **that arise or are pending** during the term of the parties' 2017 2016 Master Agreement **regardless of when they were filed with any court** or administrative agency.' (Boldface added.)" (*Id.* at p. 944.) The court stated, "Oswald cites no limitation, restriction or qualifying language in the [original CBA] preventing his union from signing an MOU that is retroactive to 2017 and incorporates section 2699.6. The union's agreement to make the MOU retroactive affects Oswald's pending claims." (*Id.* at 944.)

Here, Defendant persuasively argues that the same reasoning applies. Indeed, by design, the Arbitration Agreement contains nearly identical language as that in *Oswald* regarding the parties' intention to retroactively to cover pending claims:

> This Section shall apply to any representative PAGA claims, class and/or individual claims that arise or are pending during the term of the Parties' current collective bargaining agreement, regardless of when they were filed with any court or administrative agency.

(Arbitration Agreement, at p. 17 of August 2024 CBA, Article XXVIII, Section 3, final paragraph.) While the Plaintiffs here placed emphasis on the fact that the MOU in *Oswald* modified an existing CBA and was not a new CBA, the *Oswald* court focused on whether the terms of the original CBA prevented retroactivity. The Plaintiffs here, like those in *Oswald*, have cited "no limitation, restriction or qualifying language" prevented Local 95 from signing an agreement that is retroactive to the term of the prior CBA, regardless of when they were filed.

Accordingly, Plaintiffs' contention that Defendant has failed to show a valid arbitration agreement covering their claims is without merit.

C. Waiver

Plaintiffs next argue that even if the August 2024 CBA does apply, Defendant waived its right to compel arbitration through its actions in this lawsuit. (Opposition, pp. 8:12-11:9.)

Plaintiffs contend that Defendant acted with extreme delay in bringing this motion and cannot show good reason for the delay. (*Id.* pp. 9:4-10:10.) Defendant anticipates Plaintiffs' waiver argument in its motion but, notably, does not discuss it in its reply. (Motion, pp. 9:1-10:13.)

1. *Legal Standard*

"[W]here the FAA applies, whether a party has waived a right to arbitrate is a matter of federal, not state, law." (*Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963 (*Davis*).) However, "the test for determining waiver of the right to arbitrate is the same under the FAA and the [California Arbitration Act]." (*Zamora v. Lehman* (2010) 186 Cal.App.4th 1, 11.) The leading California case discussing waiver, *St. Agnes Medical Center v. PacifiCare of California* (2003) 31 Cal.4th 1187 (*St. Agnes*), adopted a set of factors from the Tenth Circuit opinion in *Peterson v. Shearson/American Express, Inc.* (10th Cir. 1988) 849 F.2d 464. Both federal and California law "reflect[] a strong policy favoring arbitration agreements and require[] close judicial scrutiny of waiver claims." (*St. Agnes, supra,* 31 Cal.4th at p. 1195.) "[W]aivers are not to be lightly inferred and the party seeking to establish a waiver bears a heavy burden of proof." (*Ibid.*)

Under the *St. Agnes* test, the following factors are relevant in deciding whether a party's conduct constitutes a waiver of arbitration:

> (1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether the litigation machinery has been substantially invoked and the parties were well into preparation of a lawsuit before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place; and [formerly] (6) whether the delay affected, misled, or prejudiced the opposing party.

(*St. Agnes, supra,* 31 Cal.4th at pp. 1195–1196, internal quotations omitted.)

The sixth factor regarding prejudice is based on federal cases that "applied an arbitration-specific rule that required a showing of prejudice to establish waiver." (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569 (*Quach*).) In its 2022 *Morgan* decision, "the United States Supreme Court rejected this rule." (*Quach*, 16 Cal.5th at p. 569.)

> *Morgan* clarified that the federal "'policy favoring arbitration'" is about putting arbitration agreements on equal footing with other contracts, not about favoring arbitration. ([*Morgan*, *supra*, 596 U.S. at p. 418].) Accordingly, the Supreme Court held that, under federal law, a court must apply the same rules that apply to any other contract when determining whether a party to an arbitration agreement has lost the right to enforce the agreement. (*Ibid.*)
>
> Because our state law arbitration-specific prejudice requirement is based upon the federal precedent that *Morgan* overruled, we now abrogate it. California policy, like federal policy, puts arbitration agreements on equal footing with other types of contracts. Accordingly, under California law, as under federal law, a court should apply the same principles that apply to other contracts to determine whether the party seeking to enforce an arbitration agreement has waived its right to do so.

(*Ibid.*) "To establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm from the waiving party's conduct." (*Id.* at p. 585.)

The multifactor test is not "a mechanical process in which each factor is assessed and the side with the greater number of favorable factors prevails," nor is the list of factors exclusive: rather, the factors reflect the principles that should guide courts in determining whether a party has waived its right to demand arbitration. (*Zamora*, *supra*, 186 Cal.App.4th at p. 15, internal quotation marks and citation omitted.) "The waiver inquiry is exclusively focused on the waiving party's conduct; neither the effect of that conduct on the party seeking to avoid enforcement nor that party's subjective evaluation of the waiving party's intent is relevant." (*Quach*, *supra*, 16 Cal.5th at p. 585.)

2. *Discussion*

Plaintiffs contend that Defendant's conduct in the more than two years since this action was filed has been inconsistent with a right to enforce arbitration, and the court agrees. As Defendant concedes, it did not assert the presence of an arbitration agreement among the many affirmative defenses in its answer filed in 2023. (Motion, p. 9:5-13.) Defendant asserts that it was not required to plead an arbitration defense because courts are critical of the inclusion of boilerplate affirmative defenses lacking any good faith basis. (*Id.* at p. 9:14-28.)

Defendant contends that it preserved its right to pursue arbitration by inserting a final affirmative defense into its answers entitled "Additional Defenses," containing the following language: “Defendant presently has insufficient knowledge or information upon which to form belief as to Whether it may have additional, yet unstated affirmative defenses. Defendant reserves the right to assert additional affirmative defenses in the event discovery indicates that additional affirmative defenses are appropriate.” (Motion, p. 10:1-8.) According to Defendant, this case presents a unique situation in which the obligation to assert arbitration did not exist at the time it filed its answers.

Nevertheless, even if Defendant had asserted an arbitration defense in its answers, which it did not, that alone would not be sufficient. It is the waiving party’s conduct during litigation that is determinative. (*Quach, supra*, 16 Cal.5th at p. 585 [inquiry focused on waiving party’s conduct]; see also *Sobremonte v. Superior Court* (1998) 61 Cal.App.4th 980, 998 [trial court erroneously failed to find waiver where “the only affirmative act the [petitioner] took to invoke arbitration was to allege its right to arbitrate as an affirmative defense in an answer” and “[t]he remainder of [its] conduct was inconsistent with an intent to arbitrate”]; *Davis v. Continental Airlines, Inc.* (1997) 59 Cal.App.4th 205, 217 [defendants’ assertion of arbitration as an affirmative defense in their answers was “merely one factor for the trial court to consider”].)

Here, Defendant’s actions were inconsistent with a right to enforce arbitration because, after meeting and conferring with Hathaway’s counsel on the subject in January 2023, Defendant decided not to pursue arbitration. (See Opposition, p. 5:4-10; see also Declaration of Michael Ellis, ¶ 8 [“a decision was made to forego pursuing arbitration because we did not have a good faith belief that such a motion would be meritorious”].) Defendant then delayed for a substantial period before moving to compel arbitration and seeking a stay of these proceedings. It was not until more than a year and a half later that Local 95 and Defendant executed the August 2024 CBA. As Plaintiffs point out, Defendant fails to explain why it took this long for it to modify its CBA despite being aware that California courts had on five occasions found the previous version to be unenforceable.

While Defendant asserts it modified the CBA to comport with *Oswald*, that opinion was filed in September 2022, nearly two years before the execution of the August 2024 CBA containing the Arbitration Agreement that Defendant now seeks to enforce. In the meantime, Defendant continued to participate in this litigation without informing Plaintiffs' counsel that the negotiations for a modified CBA were in progress. (Opposition, pp. 9:27-10:10; Declaration of Alex J. Valle ("Valle Decl."), ¶ 17; Declaration of Arman Marukyan, ¶ 6.) In March 2024, the parties stipulated to consolidate the Hathaway and Ruiz Actions. According to Plaintiffs, Defendant initiated this consolidation instead of trying to compel the Plaintiffs to individual arbitration. (Opposition, p. 10:13-17.) Plaintiffs also emphasize that Defendant actively participated in discovery that would have been unavailable in arbitration, including by agreeing to protective order, negotiating the language of a proposed *Belaire-West* notice, attending three informal discovery conferences, and responding to discovery requests. (*Id.* at pp. 10:21-11:9.)

Defendant effectively concedes these arguments by failing to address them in reply. Notably, Defendant's reply brief makes no mention of the waiver issue whatsoever, seemingly ignoring the final four pages of Plaintiffs' opposition. In sum, the court finds that Defendant's conduct in this action, including initially deciding to forego arbitration and delaying its instant motion for many months while participation in the litigation, sufficiently establishes that it waived any right to pursue arbitration, irrespective of whether doing so caused any prejudice to Plaintiffs. (*Quach*, *supra*, 16 Cal.5th at p. 585 ["[t]o establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm from the waiving party's conduct"].)

Accordingly, the motion to compel arbitration is DENIED, and the request to dismiss, or alternatively, stay these proceedings is MOOT.

V. CONCLUSION

The motion to compel arbitration is DENIED, and the request to dismiss, or alternatively, stay these proceedings is MOOT.

Plaintiffs' shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 6

Case Name: Sanders v. 360 Degree Customer, Inc. (Class Action)
Case No.: 22CV407883

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. BACKGROUND

This is a putative class and representative action arising from alleged wage and hour violations. On November 16, 2022, plaintiff David Jermine Sanders ("Plaintiff") began this action by filing a class action complaint against defendant 360 Degree Customer, Inc. ("Defendant"). On August 25, 2023, Plaintiff filed the operative second amended complaint against Defendant, asserting various causes of action based on alleged violations of wage and hour laws, including under the Private Attorneys General Act ("PAGA").

On April 12, 2024, Plaintiff filed an application for an order permitting service by publication on the grounds that he had not been able to serve Defendant by other means despite repeated efforts. On May 3, 2024, the court issued an order denying the application for service by publication, without prejudice, stating that Plaintiff must first attempt service on the defendant corporation by service on the Secretary of State, as authorized under the law.

Now before the court is Plaintiff's motion for application for service of process by service on the Secretary of State. The motion is unopposed.

II. DISCUSSION

Plaintiff moves for an order pursuant to Code of Civil Procedure section 416.10, subdivision (d), authorizing service of the summons and complaint on the California Secretary of State to effectuate service on corporate defendant 360 Degree Customer, Inc.

As a general matter, effecting service on a corporation requires the delivery of summons and complaint to a person on behalf of the corporation. (Code Civ. Proc., § 416.10 ("Section 416.10"); *Dill v. Berquist Construction Co.* (1994) 24 Cal.App.4th 1426, 1437